

MID-YEAR
BUDGET REVIEW REPORT
FY2025-26

Government of Pakistan
Finance Division

Letter of Report Submission

March, 2026

Dear Mr. Speaker,

In terms of Section 34(1) of the Public Finance Management Act, 2019, the Mid-year Budget Review Report for FY2025-26 is hereby submitted for placement before the National Assembly. The report provides budgeted and actual comparison of revenues, expenditure and financing besides a brief economic update and outlook.

Best regards,

Senator Muhammad Aurangzeb
Federal Minister for Finance and Revenue

The Speaker
National Assembly
Islamabad

Foreword

The Mid-year Budget Review Report for FY2025-26 has been prepared in accordance with Section 34(1) of the Public Finance Management Act, 2019, which requires the Federal Government to present before the National Assembly a report outlining a comparison of budgeted and actual revenues, expenditures, and financing. This report informs the House of the Government's fiscal performance during the first six months of FY2025-26 against the budget approved by the National Assembly in June 2025. It reflects the Government's continued commitment to fiscal consolidation through strengthened revenue mobilization and prudent expenditure management.

I would like to commend the efforts of all Federal Government offices and Principal Accounting Officers for their support in meeting budgetary targets and for demonstrating prudence in the management of public funds. I also express my appreciation to the Ministry of Planning, Development & Special Initiatives, the Federal Board of Revenue, and the officers of Finance Division for their contributions in the preparation of this report.

(Imdad Ullah Bosal)
Finance Secretary

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Executive Summary

Pakistan's economy sustained its recovery momentum in FY2025, recording growth of 3.09 percent, and maintained a stable growth trajectory in FY2026. During the first half of the fiscal year, key macroeconomic indicators showed encouraging trends. GDP growth in Q1 FY2026 is estimated at 3.71 percent, supported by improvements in agriculture, industry, and services. Large-Scale Manufacturing registered growth of 4.8 percent during July-December FY2026, reflecting improved industrial activity. Inflation declined to 5.2 percent during July-December FY2026 from 7.2 percent last year.

On the external front, the current account recorded a deficit of USD 1.2 billion amid higher imports associated with improving economic activity. Exports stood at USD 15.5 billion, while remittances increased to USD 19.7 billion. Net FDI inflows amounted to USD 808.1 million. Foreign exchange reserves reached USD 20.7 billion as of end December 2025. Moreover, the KSE-100 index reached 174,054 points as of December 31, 2025, indicating growing investor confidence and robust market performance.

On the fiscal side, strengthened revenue mobilization and expenditure discipline contributed to improved outcomes. Net revenue receipts increased by 8.6 percent during July-December FY2026 compared to the corresponding period last year, reflecting growth of 9.5 percent in tax revenue and 6.8 percent in non-tax revenue, while Federal expenditures declined by 14.3 percent to Rs. 7,030 billion from Rs. 8,201 billion last year. As a result, the consolidated fiscal balance recorded a surplus of Rs. 542 billion (0.4 percent of GDP), compared to a deficit of 1.3 percent of GDP last year, and the overall primary surplus improved to 3.2 percent of GDP from 3.1 percent last year. Development spending under the Public Sector Development Programme (PSDP) remained aligned with strategic priorities, with the majority of allocations directed towards ongoing infrastructure and social sector projects to ensure continuity and timely execution.

This report gives a mid-year comparison of the budgeted and actual revenues, expenditure and financing undertaken in the first half of FY2025-26. Fiscal and other data in the report is however subject to reconciliation at the end of the financial year.

1. Mid-year Economic Update

Following the recovery that commenced in FY2024, Pakistan's economy sustained its upward trajectory in FY2025, recording an annual growth of 3.09 percent. Building on this momentum, FY2026 has begun with a renewed emphasis on achieving sustainable and inclusive growth. Key policy priorities include continued fiscal consolidation, enhanced revenue mobilization, modernization of the agriculture and industrial sectors, and improvements in the business environment and human capital development. In parallel, monetary policy since June 2024 remained accommodative to support the economic recovery, with the policy rate reduced by a cumulative 1,150 basis points, from June 2024 to December 2025, bringing it down to 10.5 percent, while maintaining price stability.

Although, the localized floods have emerged as a significant downside risk to Pakistan's hard-earned macroeconomic stability in the start of FY2026, the government has taken proactive measures to safeguard recent gains, sustain the stabilization path, and reinforce growth prospects.

During the first half of the current fiscal year, key macroeconomic indicators have shown encouraging trends. In Q1 FY2026, GDP growth is estimated at 3.71 percent, up from 1.56 percent in the corresponding period of the previous year, driven by growth of 2.89 percent in agriculture, 9.38 percent in industry, and 2.35 percent in services, compared with 1.01 percent, 0.12 percent, and 2.24 percent, respectively, during the same period last year. Large-Scale Manufacturing (LSM) registered a growth of 4.8 percent during July-December FY2026 with 14 sectors recording positive growth, including textile, wearing apparel, non-metallic mineral products, food, beverages, tobacco, coke & petroleum products, electrical equipment, automobile and other transport equipment. In December 2025, LSM grew by 9.3 percent month-on-month (MoM) and by 0.4 percent year-on-year (YoY).

Inflation showed a pronounced easing during first half of FY2026 declining to 5.2 percent from 7.2 percent last year. The current account posted a deficit of USD 1.2 billion compared to a surplus of USD 957 million last year, as imports expanded amid improving economic activity. Goods exports recorded at USD 15.5 billion, while imports were USD 31.3 billion. Remittances continued to contribute positively to the external account, increasing by 10.6 percent to USD 19.7 billion. Net FDI inflows were USD 808.1 million. Foreign exchange reserves stood at USD 20.7 billion as of end December 2025. Moreover, the KSE-100 index reached at 174,054 points as of December 31, 2025, reflecting growing investor confidence and robust market performance.

The stability achieved in FY2025 and sustained improvement in macroeconomic indicators in FY2026 prompted international credit rating agencies to upgrade Pakistan's sovereign outlook, reaffirming confidence in the economic direction and reinforcing the credibility of ongoing reform efforts. The IMF has recently completed the second review of Pakistan's Extended Fund Facility and the first review of its Resilience and Sustainability Facility in December 2025, allowing Pakistan to access around USD 1.2 billion to support economic stability and reforms.

2. Mid-year Fiscal Performance

The Government has upheld its commitment to fiscal consolidation in FY2026 through strengthened revenue mobilization and prudent expenditure management, while advancing comprehensive reforms across all sectors of the economy to support this objective.

During July-December FY2026, net revenue receipts improved by 8.6 percent to Rs. 6,392 billion from Rs. 5,888 billion last year. The increase in revenues is on the back of 9.5 percent increase in tax collection and 6.8 percent in non-tax collection. Federal Government expenditure declined by 14.3 percent to Rs. 7,030 billion from Rs. 8,201 billion last year.

July-December

Rs. billion

	Gross Revenue Receipts	Net Revenue Receipts	Total Federal Expenditure	Overall Fiscal Balance	Overall Primary Balance
FY 2025-26	10,008	6,392	7,030	542	4,106
FY 2024-25	9,227	5,888	8,201	(1,538)	3,604

The Government's prudent fiscal management strengthened consolidation and resulted in a fiscal surplus of Rs. 542 billion (0.4 percent of GDP) in the first half of FY2026, compared to a deficit of 1.3 percent of GDP last year. Furthermore, effective control over primary expenditure resulted in an overall primary surplus of Rs. 4,106 billion (3.2 percent of GDP) from Rs. 3,604 billion (3.1 percent of GDP) last year. Details of fiscal performance are as follows:

Rs. billion

	Budget Estimates FY 2025-26	Jul-Dec Actual FY 2025-26	Jul-Dec Actual FY 2024-25
Gross Revenue Receipts	19,278	10,008	9,227
FBR	14,131	6,161	5,625
NTR	5,147	3,847	3,602
Less: Provincial Share	8,206	3,616	3,339
Net Federal Revenue Receipts	11,072	6,392	5,888
Total Federal Expenditure	17,573	7,030	8,201
Current + Statistical Discrepancy	16,286	6,765	7,940
Development and Lending	1,287	264	261
Federal Budget Deficit	(6,501)	(637)	(2,313)
as % of GDP	-5.0%	-0.5%	-2.0%
Primary Balance	1,706	2,926	2,828
as % of GDP	1.3%	2.3%	2.5%
Provincial Surplus	1,464	1,179	775
Overall Fiscal Deficit/Surplus	(5,037)	542	(1,538)
as % of GDP	-3.9%	0.4%	-1.3%
Overall Primary Balance	3,170	4,106	3,604
as % of GDP	2.4%	3.2%	3.1%
GDP	129,567	129,567	114,692

3. Mid-year Revenue Receipts

Federal revenue receipts are categorized as tax revenues collected by FBR and non-tax revenues comprising of receipts collected by the Federal Government from various sources. All receipts form part of the Federal Consolidated Fund (FCF) maintained with the State Bank of Pakistan.

3.1 FBR Tax Revenue

During July-December FY2026, FBR collected Rs. 6,161 billion, reflecting an increase of 9.5 percent compared to the corresponding period last year. Details are as follows:

Rs. billion

Description	Budget Estimates FY2025-26	Jul-Dec Actual FY2025-26	Jul-Dec Actual FY2024-25	% Increase
FBR Taxes (A+B)	**14,131**	**6,161**	**5,625**	**9.5%**
A. Direct Taxes	**6,902**	**3,030**	**2,782**	**8.9%**
B. Indirect Taxes	**7,229**	**3,131**	**2,843**	**10.1%**
Custom Duty	1,588	643	599	7.4%
Sales Tax	4,753	2,087	1,898	10.0%
FED	888	401	347	15.6%

3.2 Non-Tax Revenue

During July-December FY2026, NTR collection stood at Rs. 3,847 billion, achieving 74.7% of the annual target, reflecting a 6.8 percent increase from the corresponding period last year. Details of NTR collection are given below:

Rs. billion

Description	Budget Estimates FY2025-26	Jul-Dec Actual FY2025-26	Jul-Dec Actual FY2024-25
Non-Tax Revenues	**5,147**	**3,847**	**3,602**
SBP Profit	2,400	2,428	2,500
Petroleum Levy	1,468	823	549
Mark-up (PSEs and Others)	188	88	83
Royalties on Oil and Gas	207	61	97
Dividends	206	76	97
PTA Surplus including License Fee	29.4	25	29
UN Receipts	37.6	9	24
Mark-up (Provinces)	96	48	49
Passport and Citizenship Fee	77	27	40
Defence Receipts	35.4	14	15
Discount retained on Local Crude Oil	30	10	12
GIDC	2.4	1	1
GDS	49.4	32	27
ICT Taxes	30	17	12
Windfall Levy on Crude Oil/Gas	20.4	8	2
Petroleum Levy on LPG	5	2	2
Off Grid (Captive Power Plants) Levy	105	9	-
Climate Support Levy	-	25	-
Others	160.7	144	63

4. Mid-year Expenditures

4.1 Current Expenditure

Details of mid-year current expenditure are given below:

Rs. billion

	Budget Estimates FY2025-26	July-Dec Actuals FY2025-26	July-Dec Actuals FY2024-25
Interest Payments	8,207	3,564	5,142
Defence	2,550	1,045	890
Running of Civil Govt.	971	381	339
Pension	1,055	504	450
Grants / Transfer	1,928	880	644
Subsidies	1,186	463	237
Provision	389	-	-

Statistical Discrepancy	-	-71.4	238
Total	**16,286**	**6,765**	**7,940**

As shown in the table above, a significant portion of current expenditure was used in servicing interest payments, accounting for 53 percent of total current expenditure. During July-December FY2026, interest payments declined to Rs. 3,564 billion from Rs. 5,142 billion in the same period last year, reflecting a 31 percent reduction, largely due to the early retirement of Rs. 1.62 trillion in domestic debt.

Rs. billion

	Budget Estimates FY2025-26	**Jul-Dec Actual FY2025-26**	**Jul-Dec Actual FY2024-25**
Servicing of Domestic Debt	7,198	3,090	4,675
Servicing of Foreign Debt	1,009	474	467
Total	**8,207**	**3,564**	**5,142**

Expenditure on running of civil government stood at 39 percent of the budget estimates. Similarly, defence expenditure remained at 41 percent of the FY2025-26 budget allocation. During this period, the Government did not extend any supplementary grants, and unforeseen requirements were met through re-appropriations and technical supplementary grants. Function-wise details of current expenditure are as follows:

Rs. billion

Function	**Budget Estimates FY2025-26**	**Jul-Dec Actual FY2025-26**	**Jul-Dec Actual FY2024-25**
General Public Service	12,219	5,057	6,528
Defence Affairs and Service	2,550	1,045	890
Public Orders and Safety Affairs	352	160	146
Economic Affairs	242	92	79
Environment Protection	3.2	0.5	0.4
Housing and Community Amenities	19	2	2
Health	32	11	10
Recreation Culture and Religion	22	14	8
Education	113	42	39
Social Protection	734	341	238
Total	**16,286**	**6,765**	**7,940**

4.2 Development Expenditure (PSDP)

The Federal PSDP 2025-26 was approved by the National Economic Council (NEC) on June 4, 2025, with a total outlay of Rs. 1,000 billion, including a foreign loan rupee cover of Rs. 229 billion. In line with NEC guidelines, priority was accorded to projects at advanced

stages of execution, with adequate funding allocated to strategic and core initiatives, including foreign-aided projects, with particular emphasis on water resources, transport, communications, and energy sectors. Within the available resource envelope, importance has been assigned to development projects under the 5Es framework — exports, equity, empowerment, environment, and energy — as well as the 4R framework — resilient, recovery, rehabilitation, and reconstruction. Ongoing and new projects have been aligned with URAAN Pakistan objectives, with emphasis on sectors that support exports, enhance productivity, strengthen IT/digital infrastructure, foster innovation-driven enterprises, seed development, blue economy, science & technology, research & development, and innovation reforms.

In PSDP 2025-26, nearly 98 percent of resources have been allocated to ongoing projects, with only 2 percent earmarked for new initiatives. The bulk of resources has been allocated to the infrastructure sector (61 percent), reflecting the Federal Government's focus, followed by the social sector (18 percent) and balanced regional development with adequate allocation.

Ministry of Planning, Development & Special Initiatives has authorized Rs. 356.3 billion for the first half of the year, in line with the FY2025-26 funds release strategy. A quarterly review was conducted to assess the pace of fund utilization, facilitate smooth project execution, ensure timely completion of projects, and address any impediments. Against the released funds, an expenditure of Rs. 238 billion has been recorded in the SAP system up to December 31, 2025.

5. Financing

The composition of domestic and external debt as of end December 2025 is given below:

Domestic Debt		External Debt	
PIBs	63%	Multilateral	58%
T-Bills	16%	Bilateral	26%
Government Ijara Sukuk	13%	Eurobonds	7%
NSS / Others	8%	Commercial / Others	9%

Following are the highlights of borrowing operations during first half of FY2026:

i. The interest expense was around Rs. 3.563 trillion of which 86.7% was interest on domestic debt. Owing to expenditure rationalization measures taken by the Government, a federal primary surplus of Rs. 2.9 trillion was posted resulting into a federal fiscal deficit of Rs. 0.637 trillion.

ii. Financing of the federal fiscal deficit was carried out largely through domestic sources.

iii. T-Bills stock increased by nominal amount of Rs. 3 billion, which is in line with the Annual Borrowing Plan to keep net issuance of T-bills close to zero, in order to align with Medium-Term Debt Management Strategy (FY2026-28).

iv. Gross issuance of fixed rate PIBs amounted to Rs. 2,442 billion (including Zero-Coupon Bonds having Realized Value of Rs. 452 billion) against maturity of Rs. 1,236 billion.

v. Gross issuance of floating rate PIBs amounted to Rs. 1,556 billion against repayment of Rs. 1,133.34 billion.

vi. Gross issuance of Government Ijara Sukuk (GIS) on Realized Value basis was Rs. 1,203 billion whereas the GIS maturity amounted to Rs. 760 billion.

vii. Total flows in National Saving Schemes stood at Rs. 156.1 billion.

viii. As part of its strategic Liability Management Operations (LMOs), the Government continued its debt buyback / retirement operations amounting to Rs. 1,784 billion. This includes debt retirement of approximately Rs. 1,662 billion of SBP floating rate debt and Rs. 122 billion of market-held debt. This initiative optimized overall fund utilization, reduced concentration risk, and positively influenced both short-term and long-term borrowing costs for the Government.

ix. External budgetary disbursements were recorded as USD 4.5 billion, of which USD 1.9 billion was received from multilateral sources, USD 56 million from commercial sources, USD 1.072 billion from bilateral development partners, and USD 1.202 billion was recorded as inflow from Naya Pakistan Certificates. External budgetary repayment amounted to USD 3.97 billion.

x. USD 1 billion China SAFE deposits and USD 3 billion Saudi deposits were rolled over for one year in July 2025 and December 2025, respectively.

xi. Pakistan received USD 1 billion under the IMF's Extended Fund Facility Programme, and USD 209 million under Resilience and Sustainability Facility.

Financing details of federal fiscal deficit during the first half of FY2026 are as follows:

Rs billion

	FY2025-26 Budget	Jul-Dec Actual FY2025-26
Total Financing	6,501	637
Domestic	6,395	603
External	106	34

6. Conclusion

This report reviews the July-December FY2026 six-month fiscal performance of the Government against targets set in FY2025-26 budget. During this period, key macroeconomic indicators demonstrated continued improvement, revenue mobilization strengthened, expenditures were managed prudently, and fiscal balances were further enhanced. The Government remains committed to fiscal consolidation, focusing on strengthened revenue mobilization and prudent expenditure management.